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Sidelining Populists' Constituents

IN 2011, as Italy faced its most severe economic downturn in decades, the IMF offered the country a critical bailout opportunity. Yet populist leader Silvio Berlusconi rebuffed the package, dismissing it as "not needed."[1] This move was emblematic of Berlusconi's broader hostility toward the IMF, a stance he underscored with sharp public criticisms of the organization.

Berlusconi's refusal was fueled by concerns about political survival. Amid dwindling approval ratings and growing economic turmoil, he sought to distance himself from the IMF, an institution deeply unpopular with his populist-leaning coalition. Many Italians viewed the IMF as a symbol of foreign intrusion and a threat to national sovereignty, often conflating it with the similarly criticized European Union. Accepting IMF aid, Berlusconi feared, would signal the failure of his leadership and economic policies, undermining his precarious hold on power.[2]

For the IMF, Berlusconi's resistance presented a formidable challenge. Italy's economic instability posed significant risks not only to the eurozone but also to major economies holding Italian debt, including the United States, the UK, and northern European countries. The IMF's ability to stabilize Italy's economy was crucial for preventing the crisis from spreading. Yet engaging Berlusconi openly was politically unfeasible.

Rather than retreating, the IMF pivoted to a subtler strategy: engaging Italy behind closed doors. Using private forums like executive board meetings, the IMF worked closely with Italian representatives to monitor the country's economic reforms and maintain a dialogue with Berlusconi. These